

Transaction/Slippage Cost – 0.002%

EOD exit – 3.15 PM (IST)

Entry – When the price breaks the high of the candle in which stochastic crosses the threshold level (80 and other levels).

Result

Below is the result table when we run the back testing with different stochastics levels and initial SL combinations.

Stochastic Reading	Initial SL	Initial Capital	Ending Capital	Accuracy	Profit Factor	Maximum Drawdown	Losing Trades (continuous)	Total Trades (10 yrs)
75	0.5 %	350,000	1,154,442	41%	1.22	28%	10	1489
80	0.5 %	350,000	1,082,791	42%	1.24	23%	9	1256
84	0.5 %	350,000	1,201,914	44%	1.35	12%	9	1030
75	0.2 %	350,000	1,235,435	26%	1.36	17%	28	1490
84	0.4 %	350,000	1,180,560	40%	1.37	16%	9	1030

Above is the table of backtested results with different Stochastics readings and initial stop-loss (in %). I have not included the trailing SL and compounding of position size based on capital increase.

System 7 – Failure of IB

Successful Initiative Buying trades gives a good move to the upside for the rest of the day. At the same time, the failed initiative buying trades display a complete sideways to downside move for the rest of the day.